

Introduction to Contemporary Economic Issues in Canada and Globally

Contemporary Economic Issues: ECON 204

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Course Overview

- This course examines key economic challenges and opportunities in Canada and the global economy.
- Topics include globalization, inequality, technological change, climate economics, and post-pandemic recovery.
- The course integrates theory, empirical analysis, and policy discussions.

Why Study Contemporary Economics?

- Understand the forces shaping modern economies.
- Analyze economic policies affecting society, businesses, and individuals.
- Address pressing global and national challenges, such as climate change and inequality.
- Develop critical thinking and data analysis skills applicable in policymaking and industry.

Key Themes of the Course

- **Globalization and Trade:** Impact on Canada and global economies.
- **Income Inequality:** Trends, causes, and policy responses.
- **Climate Change Economics:** Balancing growth with sustainability.
- **Technological Disruption:** Automation, AI, and labor markets.
- **Post-Pandemic Economic Recovery:** Fiscal and monetary challenges.

Globalization and Trade

- **Definition:** The increasing integration of economies through trade, investment, and technology.
- **Impacts on Canada:**
 - Opportunities for export-driven growth (e.g., natural resources, technology).
 - Challenges: Competition from low-cost producers and trade disputes.
- **Global Perspective:**
 - Rising protectionism (e.g., tariffs, trade wars).
 - Role of international institutions like WTO, IMF.

Income Inequality

- **Trends:** Growing disparities in income and wealth globally and in Canada.
- **Causes:**
 - Technological changes favoring skilled labor.
 - Globalization and outsourcing.
 - Declining unionization and policy shifts.
- **Policy Responses:**
 - Progressive taxation and social welfare programs.
 - Education and workforce development.

Climate Change Economics

- **Global Challenge:** Reducing emissions while supporting economic growth.
- **Canada's Role:**
 - Transition to renewable energy.
 - Policies: Carbon pricing, green technology investments.
- **Economic Opportunities:**
 - Job creation in renewable sectors.
 - Leading global innovation in sustainable technologies.

Technological Disruption

- **Automation and AI:**
 - Potential for increased productivity.
 - Risks of job displacement in traditional industries.
- **Implications for Policy:**
 - Need for reskilling and education programs.
 - Balancing innovation with ethical considerations.
- **Global Competition:** Role of tech giants and innovation hubs.

Post-Pandemic Economic Recovery

- **Challenges:**

- High inflation and debt levels.
- Supply chain disruptions.

- **Opportunities:**

- Investment in healthcare and technology.
- Rethinking global supply chains.

- **Policy Responses:**

- Monetary policy: Interest rates, quantitative easing.
- Fiscal policy: Stimulus packages and infrastructure investments.

Discussion Questions

- How has globalization impacted Canada's economy? Provide examples.
- What are the primary drivers of income inequality in Canada and globally?
- How can Canada balance economic growth with environmental sustainability?

Critical Thinking Questions

- Can Canada remain competitive in a rapidly changing global economy? Why or why not?
- To what extent should Canada rely on natural resources for economic growth?
- What role does technology play in shaping future economic policies?